MAINS MASTER PROGRAM (MMP) 2024
ECONOMY-13; MOBILIZATION OF RESOURCES

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2. FISCAL FEDERALISM - ISSUES, CHALLENGES & WAY FORWARD

Context - Kerala state govt in Dec 2023 filed a suit in the Supreme Court accusing the Centre of violating the federal structure of governance and causing "severe damage to the economy of a small State with meagre resources" by interfering with its finances.

How are financial resources shared between the centre and states?

1. Tax devolution to states as recommended by the finance commission (Under article 270) [formula based]
2. Grants recommended by finance commission (under article 275) (statutory mandated)
   - General purpose grants (E.g., Post devolution revenue deficit grants).
3. Grants from Union Ministries (under article 282)
   - Union Ministries support for Centrally Sponsored Schemes & Central Sector Schemes
   - Union Ministries providing any other grants

What are various challenges to Fiscal federalism in India?

1. Reduced Financial Transfers to the States →
   - Share of states in the gross tax revenue of the Union govt has decreased
   - 35% in 2015-16 to 30% in 2023-24
2. Rising share of cess and surcharge (which are outside the divisible pool of taxes) →
   - The share of collected cess and surcharge (which are not shared with states) has increased.
   - From Rs. 85,638 in 2015-16 (5.9% of the Union government's tax revenue) to Rs. 3.63 lakh crore in 2023-24 (10.8% of the Union Govt's tax revenue).
3. Decrease in Grants-in-Aid to the states →
   - Grants-in-aid to states have declined from ₹1.95 lakh crore in 2015-16 to ₹1.65 lakh crore in 2023-24.
4. Decline in total statutory financial transfers →
   - The combined share of the statutory financial transfers in the gross tax revenue of the Union government declined from 48.2% to 35.32%.
5. Centralisation of Public Expenditure →
   - Increase in allocation to CSS & Central Sector scheme
   - CSS → Between 2015-16 and 2023-24, the allocation for CSS increased from ₹2.04 lakh crore to ₹4.76 lakh crore. (CSS such as MGNREGS, PM Awas Yojana, Jal Jeevan Mission, and National Health Mission). Tied grants to specific schemes. Curtails state autonomy in public expenditure

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- Central Sector Scheme → The spending on these schemes have increased from Rs.5,21,000 crore in 2015-16 to Rs.14,68,000 crore in 2023-24. (influenced by political bias)

6. Issues in Horizontal devolution →
   - For eg - 15th FC using data from 2011 population figures for determining the horizontal distribution of devolved taxes among States. This had adversely affected share of states that had a better record in terms of reduced population growth resulting from lower fertility.
7. Centre restricting borrowing by states [Art 293(3)]→
   - Centre has restricted borrowing of states to around 3% of GSDP
   - Restrictions on off budget borrowing
   - Enactment of State-level Fiscal Responsibility and Budget Management (FRBM) Acts that set ceilings on their borrowing relative to the State's GDP.
   - States enhanced borrowing during Cvid 19 pandemic was made conditional on implementation of reform measures
8. Implementation of GST →
   - Erosion of State Taxation Autonomy on account of implementation of GST- The ability of states to set tax rates on their own revenue sources has been significantly diminished due to the implementation of GST. For ex- State VAT have been subsumed under GST.
   - Delay in release of GST compensation cess to states

What Impact does This have on State Finances?

1. Limited Fiscal Autonomy for States
2. Strain on State Budgets
3. Potential Bias in Resource Allocation
4. Perception of states that they have been penalized for good performance

What are Ways to strengthen Fiscal federalism?

1. Symmetry in the working of the GST council and the finance commission. Improve coordination between the two
   - Possibility of giving permanent status of the FC can be explored
2. Rejuvenate Inter state council & Chief Ministers conference to act as forum for deliberation to resolve centre - state issues
3. Effective policy for rationalisation of CSS in collaboration with state govt
4. Widening the ambit of GST for revenue augmentation

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3. STATE FINANCES

Context - Recently, the Reserve Bank of India published an annual report titled **<u>"State Finances: A Study of Budget of 2023-24"</u>**. The theme of the Report is 'Revenue Dynamics and Fiscal Capacity of Indian States'. It contains fiscal data for the years 2021-22 (actuals), 2022-23 (revised estimates) and 2023-24 (Budget Estimates).

<u>Highlights of the Report</u>

Major highlights of the RBI study are presented below:

1. <u>Decline in combined States' gross fiscal deficit (GFD)</u>
   - The consolidated fiscal deficit of states fell from 4.1% of GDP in 2020-21 to 2.8% in 2022-23 led by a moderation in revenue expenditure, coupled with an increase in revenue collection
2. <u>Prudent Fiscal Management</u>
   - States have budgeted a GFD-GDP ratio of 3.1 per cent in 2023-24, below the Centre's limit of 3.5 per cent for the year.
3. <u>Expenditure</u>
   - Revenue Expenditure
     - In 2023-24, the revenue expenditure of the States is budgeted at 14.4% of GDP
     - Committed expenditure, which includes interest payments, administrative services and pensions, declined marginally to 4.5 per cent of GDP in 2022-23 and is expected to remain at the same level in 2023-24 (BE)
   - Capital Expenditure
     - The capital outlay of the States is budgeted to increase sharply by 42.6 per cent in 2023-24
4. <u>Market Borrowing</u>
   - decline in reliance on market borrowing due to increased loans from centre
   - 90% in 2019-20 to 76% in 2023-24
5. <u>State's total outstanding liabilities</u>
   - The debt-GDP ratio of States declined from at 31% at end-March 2021 to 27.5% by end-March 2023, supported by fiscal consolidation
6. <u>Rise in Revenue receipts</u>
   - For 2023-24, States have budgeted a sharp rise in revenue receipts over 2022-23 (PA), anticipating a broad-based recovery in all major components
7. <u>Rise in state's own tax revenue</u>
   - States' own tax revenue (SOTR) has increased from 5.7 per cent of GDP in 2003-04 to 6.9 per cent of GDP in 2022-23
   - SGST(41.7%), sales tax(23.5%) and States' excise duties (13.6%) constitute around 79 per cent of the States' own tax revenue collection
   - Implementation of GST has led to increased tax buoyancy for the states

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Several challenges to fiscal sustainability for states

1. Old Pension Schemes
   - Return to the Old Pension Scheme (OPS) by a few States and reports of some other States moving in the same direction would exert a huge burden on State finances and restrict their capacity to undertake growth-enhancing capital expenditures.
   - Internal estimates suggest that if all the State governments revert to OPS from the National Pension System (NPS), the cumulative fiscal burden could be as high as 4.5 times that of NPS
2. Low Non Tax revenue
   - It is around 1% GDP in the last 10 years. It is around 10% or more in countries like Singapore, Egypt and Iran

What can be done to improve State finances?

1. Increasing fiscal capacity of states
   - Improvement in tax administration, including data analytics to curb tax evasion.
   - Enhancing the institutional strength of States revenue departments for effective implementation of policies and regulations
2. Increasing Non tax revenue
   - Through revisions of user charges on electricity, water and other public services, royalties and premiums from mining, asset monetization etc.
3. Prevent Revenue Loss due to Illegal Mining
   - Utilize modern technologies such as Geographic Information Systems (GIS) and Drone Surveys to identify and curb illegal mining activities.
4. Performance based grants
   - Finance Commissions could consider recommending an increased share of conditional transfers based on reforms, quality of expenditure and fiscal sustainability to harness healthy competition across States towards improving their economic performance.
5. Climate Finance
   - The Centre can introduce performance-based incentives for States that achieve significant progress towards climate goals

4. PANCHAYAT FINANCES

Context - Recently, RBI released a report titled ‘Finances of Panchayati Raj Institutions’ which is based on the data of 2.58 lakh Panchayats for the years 2020-21 to 2022-23, covering about 75% of rural local bodies.

What are the fiscal issues and challenges in Panchayat finances?

1. Limited own source of revenue

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a. Panchayats in India generate only 1.1% of their revenue through local taxes (mainly property taxes, fees and fines.)
b. Non-tax revenue, primarily from Panchayati Raj programmes and interest earnings, constituted 3.3% of the total revenue receipts.
c. Panchayat's own sources of revenues are limited, mainly property taxes, fees and fines.
d. This restricts the financial autonomy of Panchayati Raj institutions and restricts their spending ability.

2. <u>Heavy dependence on grants-in-aid from the centre and states</u>
    a. The majority of their income, approximately 95%, comes from grants by the central and state governments. (80% of panchayat revenue is from the Centre and 15% from States.)
    b. Grants from higher level of governments such as Finance Commission and State Finance accounts for a total of 95% of the revenue receipts of the panchayats. (80% of panchayat revenue is from the Centre and 15% from States.)
    c. Note: Grants from the Central Finance Commission has consistently increased for panchayats since the 73rd Constitution Amendment Act.
    d.

Table II.3: Revenue Receipts

(₹ crore)

	2020-21	2021-22	2022-23
Revenue Receipts	41,744	37,971	35,354
A. Own Tax Revenue	703	786	737
B. Own Non-Tax Revenue	1,365	1,415	1,494
C. Grants-in-aid	39,675	35,770	33,123
(i) Grants from Central Government	30,264	27,060	24,699
(ii) Grants from State Government	9,138	8,412	8,148

    e. It lead to major problem of under spending on purely local public goods like irrigation as the devolved funds are tied to some schemes

3. <u>Revenues of Panchayats has declined in 2022-23 due to lower grants from the state and central governments</u>
4. <u>Issues with State Finance Commission</u>
    a. Non sync of CFC and SFC time periods
    b. Delay in the the constitution of State Finance Commission.
    c. States not adhering to SFC recommendations
    d. Delay in action taken report in Vidhan Sabha in absence of constitutionally mandated time limits
    e. Several states have serving bureaucrat as SFC members
5. <u>Lack of capital investment</u>
    a. Investment in capital projects was only 29.6% of the total expenditure of Panchayats in 2022-23.
6. <u>Distribution disparity</u>

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    a. There are notable differences in the distribution of grants-in-aid to PRIs across states and years.
7. Lack of devolution of taxation powers by state government
8. PRI under collect taxes even relative to powers they have
    a. Lack of data available with PRIs on commercial establishment in rural areas
    b. Inhibition of Panchayat leaders in imposing and collecting taxes as the functionaries live among those taxed
    c. Property tax (PT) form a major source of revenue for local government world over, but grossly unused in India. PT to GDP ratio is just o.2% in India compared to 1.1% in OECD and as high as 3% of GDP in Canada, US, UK
    d. These issues could lead to low equilibrium trap of low collection, poor service delivery leading to poor collection and low accountability as citizens authority to question the govt. Reduces when the citizens do not pay their share

What are the suggestions to improve financial conditions of Panchayats?

1. Intensification of efforts by panchayats to augment their own tax and non-tax revenue.
    a. Resource devolution to PRI's can be linked to the resources they generate on their own
    b. Centre and state may share a fixed percentage of CGST & SGST revenue with local bodies. This is fully incentive-compatible as GST is a consumption based taxes and areas with better public goods provided by local bodies will also have more consumption
2. Timely establishment of SFCs and prudent adherence to its recommendations.
3. Operational changes in PRIs like transparent budgeting, fiscal discipline, e-governance, robust monitoring and evaluation process, reporting of finances in standardized formats (e-gram swaraj portal), etc.
4. Empowerment of local leaders and officials, active involvement of the local community to prioritise development needs, etc.

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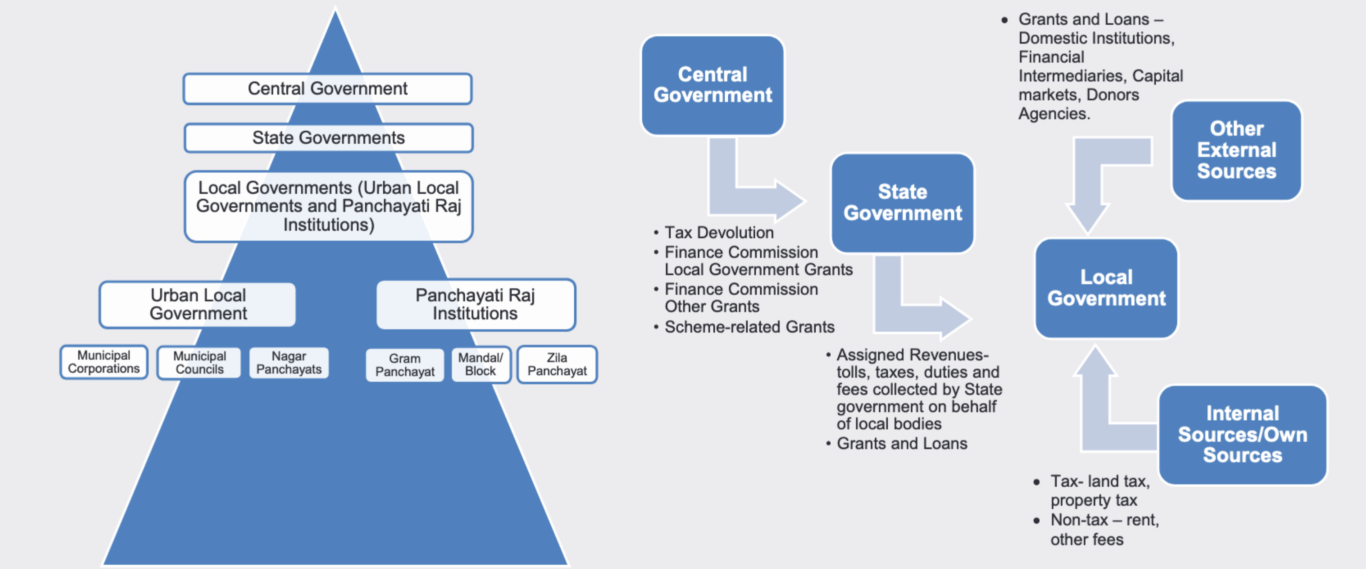
5. URBAN LOCAL BODIES FINANCES

Chart I.1: Three-tiers of Governance Structure and Finance



Sources: Budget documents of Centre, States and Municipal Corporations.

<u>What are the challenges faced by Urban Local Bodies?</u>

1. <u>Stressed Municipal Finances</u>
    a. The revenue receipts of MCs (consisting of own tax revenue, own non-tax revenue and transfers) is 0.72% of GDP in 2019-20. (Brazil - 7%; South Africa 6%; UK - 13.9%)
    b. Own tax revenue - 30-34% of total revenue; Non tax revenue - 30% of total revenues; transfer from states - 30-35%; transfer from central govt - 5%.
    c. The trend is increased reliance on centre and state transfers
2. <u>Low diversification of tax revenue (Huge dependence on property taxes)</u>
    a. Property tax accounts for around 50% of the total tax collections of MCs.
    b. Despite such dominance, property tax collection in India was much lower compared to OECD countries due to undervaluation, and poor administration.
3. <u>Dominance of Revenue expenditure in total expenditure</u>
    a. 70% of total expenditure was spent on Revenue expenditure
4. <u>Low capital expenditure</u>
5. <u>Limited number of taxes have been devolved to the ULBs by the state governments</u>
6. <u>Poor cost recovery of services by ULBs</u> (eg - competitive populism)
7. <u>Issue with State finance commission</u>
    a. CFC and SFC time period are not in sync
8. <u>Functional overlap with parastatals bodies</u>

a. Little coordination between bureaucrat led agencies like development authorities (parastatals) etc at the state level and elected ULBs who have overlapping functions. It leads to fragmented government and lack of coordination in financing and expenditure

What have been done to bolster ULBs?

1. 15th Finance commission has enhanced the grants to ULB as compared to 14th FC
2. Performance based grants to ULBs
3. Promotion of Municipal bonds to raise funds

What more can be done?

1. Improving property tax collections
    a. Establishing Property tax boards as recommended by 13th FC
    b. Use of GIS
    c. Property revaluations must be done at regular intervals
2. Strengthening Municipal bonds
    a. Listing municipal bonds in the stock exchange
3. Creating a Municipal finance data base by RBI abd publish it on yearly basis
4. Reforming the State finance Commissions
5. Capacity Building of ULBs

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